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FY2024 Investor Briefing & Results Announcement

For the Period ended 31 March 2024

July 30th, 2024

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Agenda.

BUSINESS REVIEW
Dr. James Mworia – Chief Executive Officer

FINANCIAL REVIEW
Risper Alaro – Group Finance Director

OUTLOOK
Dr. James Mworia – Chief Executive Officer

Q & A

BUSINESS REVIEW

Dr. James Mworia – Chief Executive Officer

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BUSINESS REVIEW
Dr. James Mworia – Chief Executive Officer

Section 1:
Company Overview.

Our Business Model.

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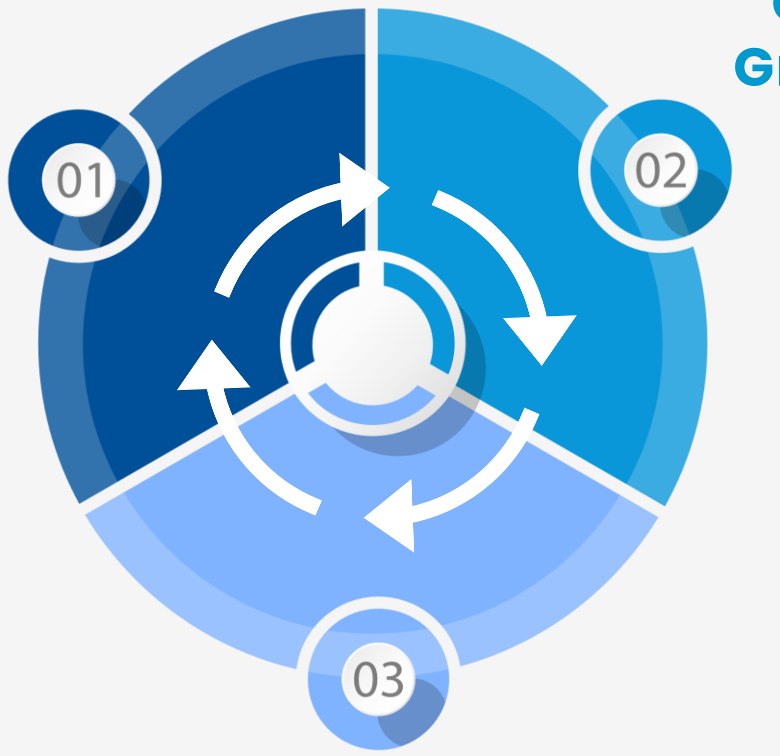
Deploy Capital

Identify compelling **opportunities** and deploy capital through innovative investment structures.



Create & Grow Value

- **Institutionalize** robust governance structures
- **Enhance** business process efficiencies
- **Grow** products and scale up markets
- **Resolve** operational challenges
- **Optimize** capital structures

Monetize Value

- Annuity **income streams** (dividends & interest)
- **Repayment of shareholder loans** from third party capital raise
- **Equity exits** at a gain on initial investment

Our Competitive Advantage.

IDENTIFY
Identifying and deploy capital to high quality investment opportunities

A **high-quality portfolio** comprising assets with potential for both significant yield and capital gains.

GROW
Deep expertise and local knowledge that is key for portfolio value creation

Current portfolio is held at an average of **2.6x** multiple on net cost of investments.

EXIT
Strong track record of successful exits at a premium to the asset carrying value

Over 10 exits made in the period 2009-2023 at **3.7X** money back on average.

Centum made **9 out of the 36 exits*** disclosed in the private equity space in Kenya over the past decade.

**2023 EAVCA report*

Company Snapshot | 31 March 2024

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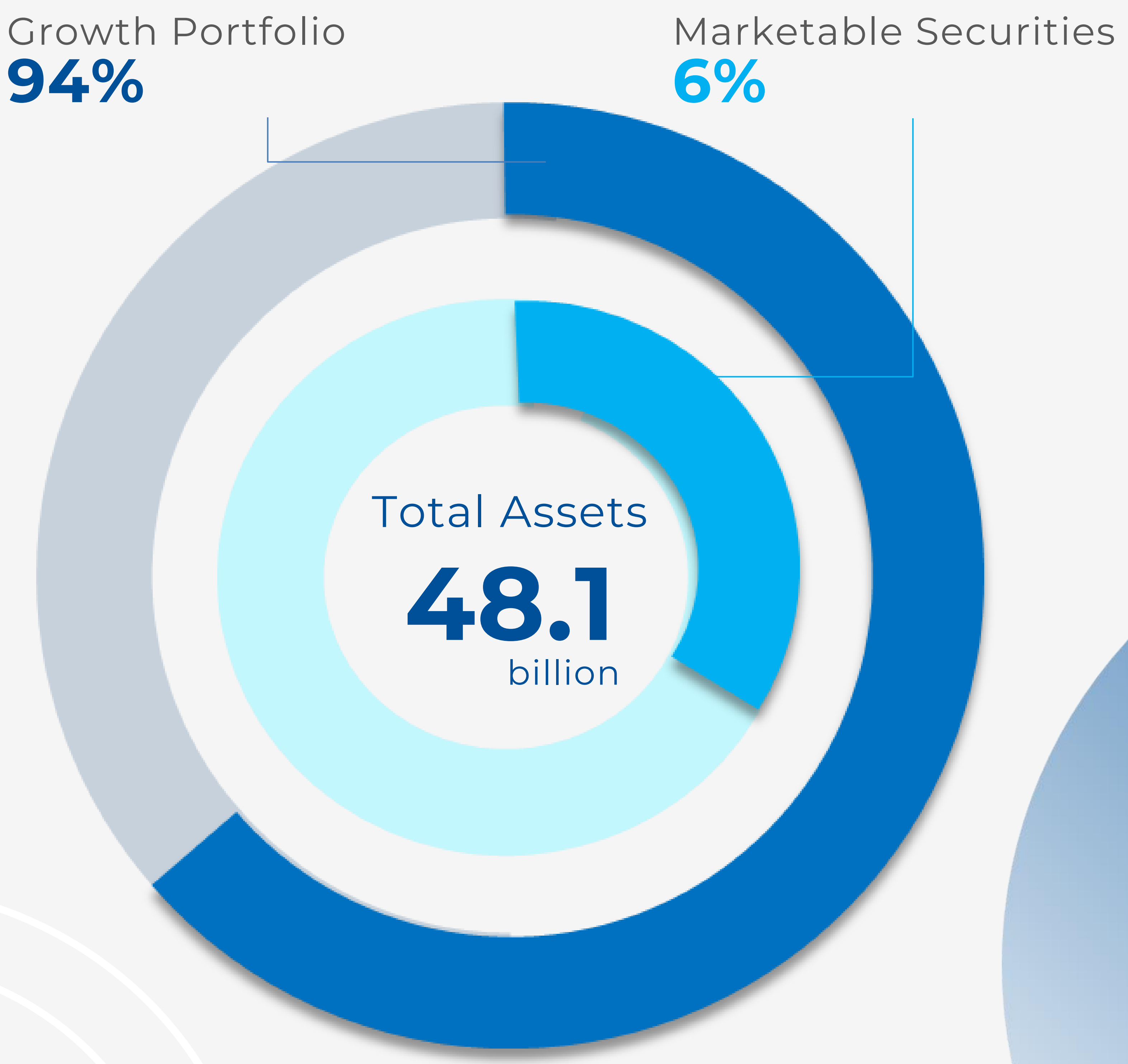
Market Capitalisation[(1)]	KES **6.0 billion**
Net Asset Value[(2)]	KES **41 billion** [**Kes 62.4** NAV per share]
Cumulative dividend distribution consistently paid out annually since 2017	KES **5.1 billion**
Average Cost-to-income ratio achieved in FY20 – FY24	**48%**
Long Term Gearing	**0 %**

Portfolio Allocation
as of 31 March 2024

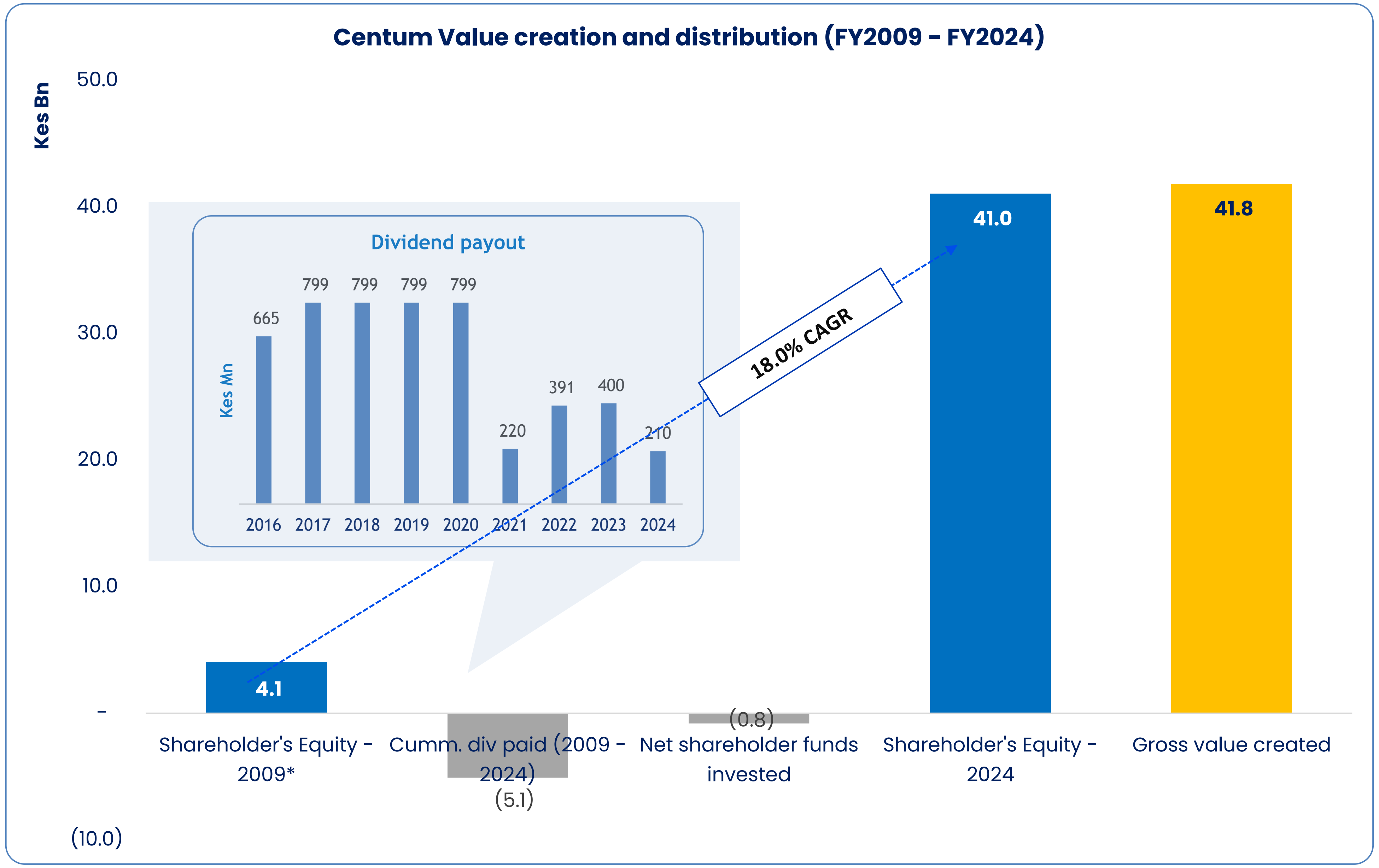


(1) Share price as of 25 July 2024; 655.8 million shares outstanding

(2) As at 31 March 2024; 657.5 million shares outstanding

FY 2009 – FY 2024 Snapshot.

Annualized Return	Dividend Distribution	Growth in Shareholders' Equity
18.0%	KES 5.1 billion	10X



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Company Snapshot.

- The shareholders' equity value at March 2009 was **Kes 4.1Bn.**
- Centum has since made dividend distributions to shareholders amounting to **Kes 5.1Bn**.
- **No new equity capital** was raised between 2009 – 2022. Thus, the total dividend distributions have exceeded the original shareholder funds invested by **Kes 800Mn.**
- As at 31 March 2024, the shareholder equity value was **Kes 41 billion.**
- Thus, the **gross value created** for shareholders over the 2009 – 2022 period was **Kes 41.8 billion.**
- This represents an annualized return on equity of **18.0% p.a.** against the NSE 20 Index return of -3.32% in the review period.

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BUSINESS REVIEW
Dr. James Mworia – Chief Executive Officer

Section 2:
Strategy Update and Performance Overview.

Strategy Evolution – Our Journey

- Adapting effectively to our dynamic business environment, Centum has remained resilient to deliver **10x growth** in shareholders' equity through diverse strategies

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Strategic Themes

CENTUM 4.0	**VALUE PRESERVATION**	**Portfolio Allocation:** marketable securities, controlling stakes in private equity, real estate **Funding:** Internal Cash Flows **Liquidity:** Annuity Income and Exits	Total Assets: **KES 48 Bn** **Net Asset Value: KES 41 Bn** Return Vs. Market: **-15.3% vs -40%** Borrowings: **1.9 Bn** Gearing: **4.8%**	**2024**
CENTUM 3.0	**DEVELOPER OF INVESTMENT GRADE OPPORTUNITIES**	**Portfolio Allocation:** marketable securities, controlling stakes in private equity stakes, real estate **Funding:** Debt **Liquidity:** Annuity Income and Exits	Total Assets: **KES 72 Bn** Net Asset Value: **KES 53 Bn** Return Vs. Market: **130% vs -44%** Borrowings: **16.1 Bn** Gearing: **30%**	**2019**
CENTUM 2.0	**ACTIVE PORTFOLIO INVESTOR**	**Portfolio Allocation:** marketable securities, minority private equity stakes, started venturing into real estate **Funding:** Internal Cash Flows **Liquidity:** Annuity Income	Total Assets: **KES 29 Bn** Net Asset Value: **KES 23 Bn** Return Vs. Market: **461% vs 77%** Borrowings: **5.5 Bn** Gearing: **18%**	**2014**
CENTUM 1.0	**PASSIVE PORTFOLIO INVESTOR**	**Portfolio Allocation:** marketable securities **Funding:** Internal Cash Flows **Liquidity:** Annuity Income	Total Assets: **KES 4.6 Bn** **Net Asset Value: KES 4.1 Bn** Borrowings: **170 Mn** Gearing: **0%**	**2009**

Risk reduction

Strategy Overview –
Centum 4.0 scorecard.

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Strategic Pillars
(FY 2022 – FY 2024)

Key Objectives

Achievements
(FY 2020 – FY 2024)

Financial

Returns & Dividend Payout

Return & Dividend Pay-out	Target	Achieved	Performance
Return (% p.a)	20%	-4%	Red
Net Asset Value (Kes Bn)	70.0	41.1	Amber
Dividend Pay-out (% of annuity income)	30%	44%	Green

- **58%** of NAV target realized.
- **-4%** annualized return; value preservation achieved

Capital Structure & Liquidity

Capital structure & Liquidity	Target	Achieved	Performance
Total Debt/ Equity	0%	4.8%	Green
Annuity income/ Costs	1.0x	0.9x	Green

Target to pay down **KES 16.1 Bn** of debt

- **Kes 14.2Bn** debt repaid in the strategy period.
- Annual finance costs reduced by **84%** from **Kes 1.8Bn** in FY2020 to **Kes 295Mn** in FY2024.

Operating Costs

Cost efficiency	Target	Achieved	Performance
Cash opex-to-Annuity Income Ratio	30%	48%	Amber

- Operating costs reduced by **67%** from **Kes 895Mn in FY2022** to **Kes 580Mn** in **FY2024**.
- **48%** recurrent cost to annuity income ratio on average.

Non-Financial

Portfolio Focus

Portfolio Focus	Target	Achieved	Performance
Growth portfolio	85%	94%	Amber
Marketable securities	15%	6%	Amber

- **Tactical asset reallocation** was done in FY2024 to invest in the Two Rivers SEZ opportunity.

Organizational Effectiveness

Organization Effectiveness	Target	Achieved	Performance
Level 2 process maturity	100%	100%	Green

- Portfolio companies have **separate independent operations** and **governance systems** in line with the target **supervisory parenting model** targeted under Centum 4.0.

Centum 5.0 [FY2025 – FY2029] | Strategic Objectives –

Strategic theme: Value optimization.

	Key Pillars	Strategic Objectives
Financial	**Return and Dividend Pay-Out**	▪ Generate a minimum of **30% annualized return on equity**. ▪ Grow **Net Asset Value** from **Kes 41Bn** to **Kes 152Bn** ▪ Have at least **5 solid subsidiary companies** making a minimum annual **EBITDA of USD 20Mn** per year. ▪ Pay out **30% of annuity income** as dividend distribution to shareholders
Financial	**Asset Allocation**	▪ Allocate **10% - 20%** of the total portfolio to **Marketable Securities** Portfolio. ▪ Allocate **up to 30%** of the growth portfolio into **Quoted Private Equity**.
Financial	**Cost Efficiency**	▪ Achieve operating cost to income ratio **below 30%** of cash annuity income from FY2027.
Non-Financial	**Brand**	▪ Assess Centum's brand equity value and define the Company's strategic brand positioning. ▪ Institutionalize structures and practices that will enhance and sustain the desired strategic brand equity value.
Non-Financial	**Organizational Effectiveness**	▪ Adopt and maintain fit-for-purpose **people, processes and technology** at Centum and portfolio company level.

BUSINESS REVIEW

Dr. James Mworia – Chief Executive Officer

Section 3:

Portfolio Review.

Portfolio Review -

FY2024 Summary Carrying Value

31 March 2024

Centum's Portfolio Summary - 31 March 2024	*Nature of Business*	*Sector*	*Stake*	*Equity Value Kes Mn*	*Shareholder loans Kes Mn*	*Total Carrying Value Kes Mn*	*Valuation Method*
Two Rivers Land Co. SEZ Ltd	Development of Grade A offices within TRIFIC SEZ targeting export-oriented service enterprises for rent in USD and subsequent sale at a cap rate.	Service	80.50%	9,442	1,201	10,643	Recent transaction price
Centum Real Estate (Land Co)	Sale of development rights in master-planned mixed use	Real Estate	100.00%	18,039	5,400	23,439	Fair value of property
Centum Real Estate (Dev Co)	Development and sale of residential units across Kenya and Uganda	Real Estate	100.00%	0	1,631	1,631	Cost
Akiira Geothermal	Geothermal power development	Power	75.00%	0	1,003	1,003	Cost
Sidian Bank	Banking	Financial Services	40.00%	1,856	44	1,900	Recent transaction price
NAS Servair	Airline Catering	Service	15.00%	1,129	0	1,129	EBITDA Multiple
Isuzu East Africa	Automotive assembly	Manufacturing	17.80%	2,797	0	2,797	EBITDA Multiple
Longhorn Publishers	Books publisher	Consumer	60.20%	377	0	377	Market Price
Nabo Capital	Fund manager	Financial Services	100.00%	459	37	496	Net Asset Value
Jafari Credit	Civil servants payrol lending	Financial Services	100.00%	242	190	432	Fair value of loan book
Green Blade Growers	Horticulture farming for export	Agribusiness	100.00%	160	167	327	Net Asset Value
Tribus Group	Security and facilities management	Service	80.00%	210	0	210	Net Asset Value
ACE Holdings	Holdco fo SABIS Int'l school in Nairobi	Education	16.40%	429	12	440	Cost
Tier Data	ICT infrastructure and services	ICT	100.00%	0	23	23	Cost
Total Growth Portfolio				**35,141**	**9,707**	**44,848**	
Marketable Securities	Diverse portfolio of fixed income securities	Fixed Income Securities	100.00%	1,334	1,499	2,832	Market Price
Grand Total				**36,474**	**11,206**	**47,680**	

Key portfolio updates | 31 March 2024

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Total Assets - KES 48.2 Bn | Total NAV – 41.1 Bn | NAV Per Share – KES 64.2

Growth assets

- CENTUM re Development Co.
- Greenblade Growers Ltd
- LONGHORN PUBLISHERS LIMITED expanding minds
- JAFARI CREDIT A MEMBER OF CENTUM GROUP
- TRIBUS The Solutions Group A member of Centum Group
- AKIIRA GEOTHERMAL LIMITED
- TRIFIC TWO RIVERS INTERNATIONAL FINANCE & INNOVATION CENTRE AFRICA'S GATEWAY TO THE WORLD
- SidianBank Own Tomorrow

Cash generating assets

- CENTUM re Land Co.
- NAS SERVAIR
- ISUZU EAST AFRICA
- 
  Marketable Securities Portfolio
- nabo CAPITAL A member of the Centum Group

Portfolio review –
Two Rivers Land Company SEZ

Centum's stake: 80.5%

Carrying Value: Kes 10.6Bn

Market Opportunities

1. Significant demand for office space located within an SEZ.
2. Skilled and youthful population.
3. Robust investor interest enabling the business to attract adequate capital.

Background

- Centum and a consortium of other investors created TRIFIC SEZ in the financial year ended 31 March 2024.
- The investors capitalized Two Rivers Land Company SEZ (TR Land Co. SEZ) to enable the acquisition of 1.2 million square meters of development rights set on 84 acres of land from Two Rivers Development Company Limited.
- TR Land Co. SEZ secured gazettement as a Special Economic Zone.

Business Model

A hub for export-oriented service enterprises

- TRIFIC SEZ is domiciling export-oriented service enterprises and investment companies.
- The enterprises enjoy fiscal incentives provided under the SEZ Act with the objective of stimulating FDI, creating jobs and boosting exports.
- TRIFIC offers Grade A office space (grey box, serviced or fitted) and provides business support services to facilitate the ease of set up by the enterprises.
- The support services entails facilitation of licensing, recruitment and regulatory compliance.

Achievements and outlook

- So far 16 enterprises have been licensed and there is a longer pipeline of others seeking to set up in TRIFIC SEZ.
- Purchases an office tower of 16,203 at Two Rivers which is currently fully booked and expect to be fully occupied by March 2025.
- Secured USD 47.5Mn mezzanine debt to develop an additional 70,000 SQM to be let over the next 36 months.

CENTUM re
Land Co

VIPINGO DEVELOPMENT LIMITED
A member of Centum Group

PEARL MARINA
A MEMBER OF THE CENTUM GROUP

Portfolio review – Centum Real Estate | [A] Land sales

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Centum's stake: 100%

Carrying Value: Kes 23.4Bn

Market Opportunities

1. High investor interest due to strategic locations presenting an opportunity for de-risked real estate investment.
2. Existing, high quality ready infrastructure.
3. Demand for master planned, investor-ready location offering an ecosystem for diverse real estate investments.

Sales traction; cash collections and profit potential

4,221 acres sold; 88% average profit margin

Land sales segment	Total Value (Kes Bn)	Cost [Land+Infra] (Kes Bn)	Profit Potential	Cash collected (Kes Bn)	Receivables (Kes Bn)
Signed contracts - Completed (Bulk)	3.8	(0.6)	3.2	3.8	-
Signed contracts - Completed (Retail)	0.4	(0.0)	0.4	0.4	-
Signed contracts - Ongoing (Bulk)	3.5	(0.4)	3.1	1.5	2.0
Signed contracts - Ongoing (Retail)	0.6	(0.0)	0.6	0.2	0.4
Total	**8.2**	**(1.0)**	**7.2**	**5.8**	**2.4**

- **Kes 8.2Bn** worth of land sold, to which the attributable cost of land and infrastructure is **Kes 1.0Bn.** This is **88% average profit margin,** reflecting the realization of previously recognized capital gains.

- **Kes 5.8Bn** cash collected represents **71%** of the value of sales achieved. Surplus cash from land sales continue to be up-streamed to Centum as repayment of the shareholder loans previous advanced to acquire and develop the underlying assets.

CENTUM re
Dev Co

Centum's stake: 100%

Carrying Value: Kes 1.6Bn

Market Opportunities

1. Robust and growing demand for mid-market and affordable housing
2. Strategically located development rights in in master planned neighborhoods across key East African cities.
3. Market-tested housing concepts
4. Sales-led, capital light business model

Portfolio review – Centum Real Estate | [B] Residential units

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Sales traction; cash collections and profit potential

2,113 Units under development are 89% sold

Residential Units Segment	No. of Units	Total Value (Kes Bn)	Total Cost (Kes Bn)	Profit Potential	Cash collected (Kes Bn)	Receivables (Kes Bn)	Cost to complete (Kes Bn)	Net Cash Realizable (Kes Bn)
Completed, sold & recognized in P&L	825	8.0	(7.1)	**0.8**	8.0	-	-	**-**
Completed, sold but not-recognized in P&L	255	1.9	(1.7)	**0.2**	1.0	0.9	(0.3)	**0.6**
Completed but not sold	22	0.3	(0.3)	**0.0**	-	0.3	(0.1)	**0.2**
Ongoing - sold	797	7.8	(6.9)	**0.9**	3.5	4.3	(2.5)	**1.8**
Ongoing - not sold	214	2.7	(2.3)	**0.3**	-	2.7	(1.5)	**1.1**
Sub-total (Completed and Ongoing)	**2,113**	**20.7**	**(18.3)**	**2.4**	**12.5**	**8.1**	**(4.4)**	**3.7**

- **Kes 20.7Bn** revenue potential from the residential project portfolio under development.
- **89%** of the units have been sold and have a revenue potential of **Kes 17.7Bn** while the value of inventory units is **Kes 3.0Bn.**
- **Kes 12.5Bn** cash collected and **Kes 5.1Bn** is receivable from sales made.
- Gross realizable cash from receivables and inventory is **Kes 8.1Bn. With Kes 4.4Bn cost to complete, net cash potential of the business is Kes 3.7Bn.**
- In line with **IFRS**, the revenues from projects are only recognized in the P&L once the units are *completed, fully paid for and handed over to home-owners.* Thus, the above profit potential will progressively reflect in Centum RE's net asset value as the revenue recognition criteria is met in future periods.
- Despite low profit recognition in the current period, the business continues to demonstrate **strong cash generating capacity.**

Scaling up

- **805 units** are under market validation with **Kes 10.4Bn** revenue potential and **Kes 3.2Bn** profit potential, representing **34% average margin**.
- **USD 20Mn IFC funding** secured to progress some of the existing projects and the new pipeline.

Portfolio review –
Akiira Geothermal

Centum's stake: 75%
Carrying value: Kes 1.0Bn

Market Opportunities

1. Demand for green energy for industrial use
2. Proximity to key infrastructure
3. Steam development for sale to industrial consumers or power producers
4. Green funding which is relatively cheaper
5. Monetization of carbon credits
6. Strategic partnerships

The opportunity

- There is significant and growing demand for green energy in Kenya and beyond.
- Akiira Geothermal is strategically well placed to provide base load power to the grid and captive consumers.
- To drive value creation and maximize on the existing market opportunity, Centum increased its stake in the project from 37.5% to **75%**.

Investor engagement

- We are in talks with a number of investors to enable us close the equity round for development of a 140MW power plant.

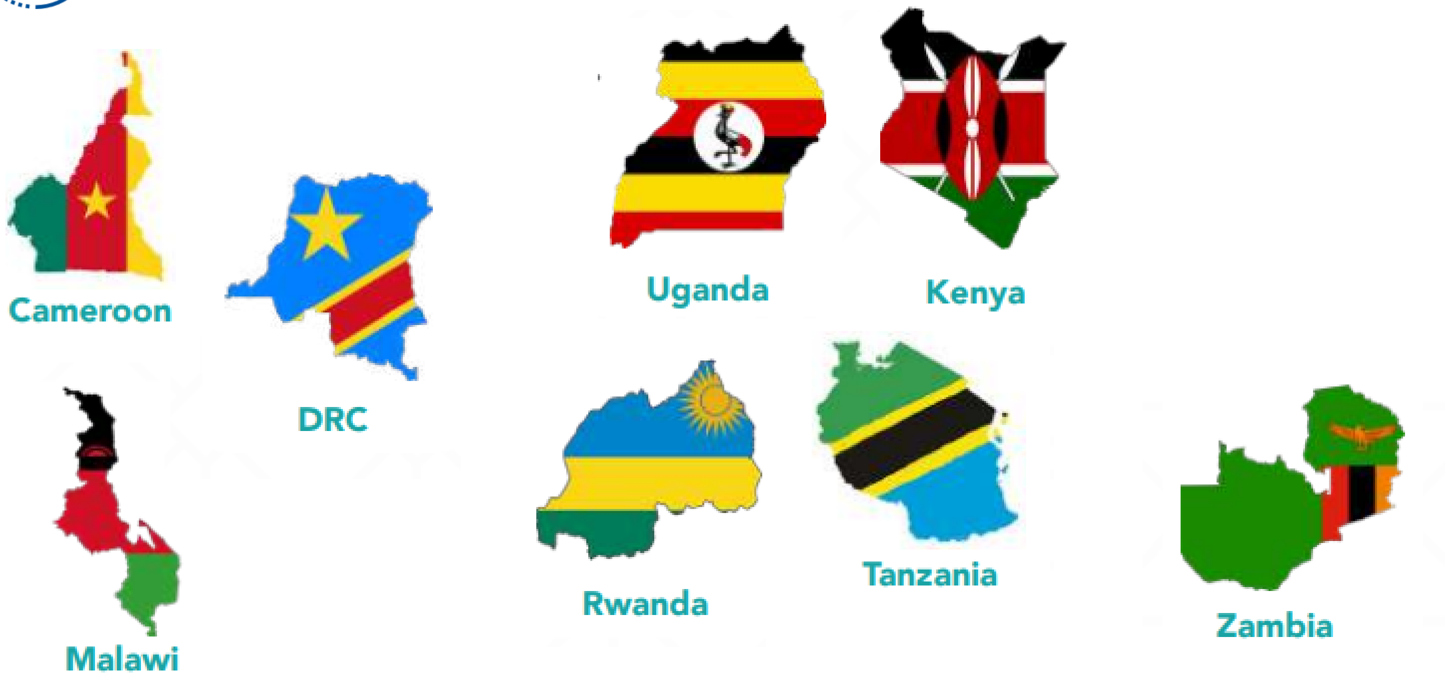
Portfolio review –
Longhorn Publishers

Centum's stake: 60.2%
Carrying Value: KES 377Mn

Market Opportunities

1. Revision of existing titles and introduction of new titles in various markets where Longhorn has presence.
2. Strategic partnerships to leverage tech-driven product offering

Diversified market presence



Strategic focus

- **Growth in revenues and margins**: Product & market diversification and enhanced cost efficiency.
- **Unlocking digital valuation**: Digital transformation to leverage technological advancements to created new revenue streams and grow existing, through eLearning, Digital Content Creation Tools, Virtual schooling etc.

Key portfolio updates -

Other growth assets

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SidianBank
Own Tomorrow

Centum's Stake | 40%

Carrying Value | Kes 1.9 Bn

- The bank recorded **Kes 2Bn** growth total assets in the year ended December 2023, with **22% growth** in net interest income for the period.
- Centum concluded a partial exit of Sidian Bank and remains with **40% stake.** We realized **Kes 3.2 Bn** in cash proceeds.
- Considering the significant capital requirements of a bank , the exit allowed for onboarding of strategic investors to support growth without the pressure on Centum for capital calls
- This transaction was priced at **59% premium** to Centum's immediately preceding carrying value of the asset.
- The bank continues to mobilize Tier 1 and Tier 2 capital and is expected it to embark on sustainable profitable growth.

Key portfolio updates -

Cash generating assets

NAS SERVAIR

Centum's Stake | 15%

Carrying Value | Kes 1.1Bn

- Continues to **diversify revenue streams** to in-train services, office catering and formation of strategic partnerships for home deliveries.
- The business continues to enhance **dividend distribution** following the rebound of business to post-covid recovery.

ISUZU EAST AFRICA

Centum's Stake | 17.8%

Carrying Value | Kes 2.8 Bn

- Isuzu remains a market leader with a **60%** market share in the commercial vehicle segment.
- The vehicle assembly and distribution business has recently won the rights to distribute **UD Trucks in Kenya**, taking over from a competitor which exited the segment. This adds to Isuzu's continued ***product diversification*** and ***market expansion***.
- We expect **sustained cash generating capacity and dividend distribution** by the company in the current financial year and growth in the medium term.

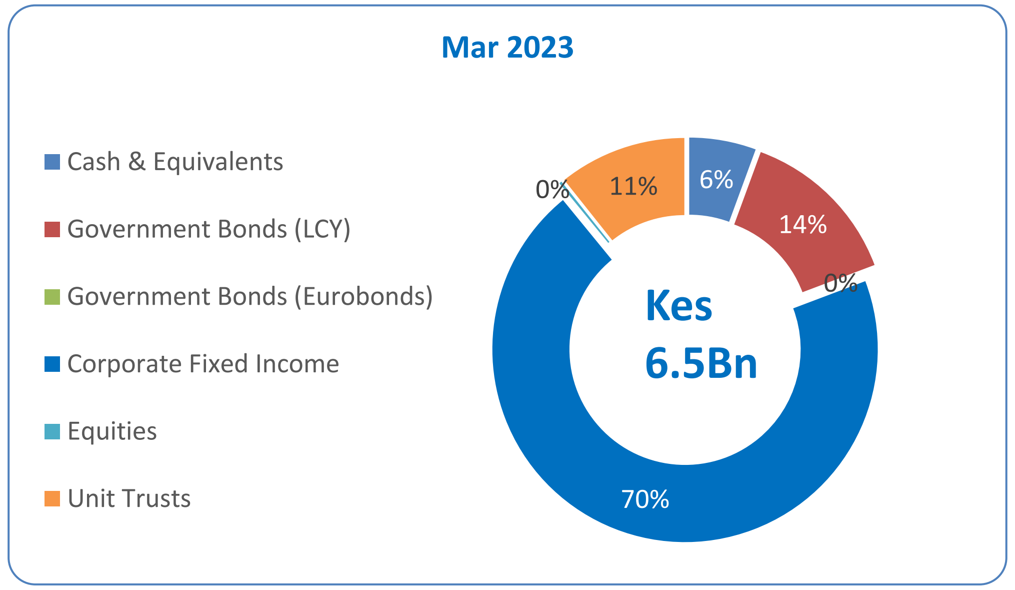
Key portfolio updates -

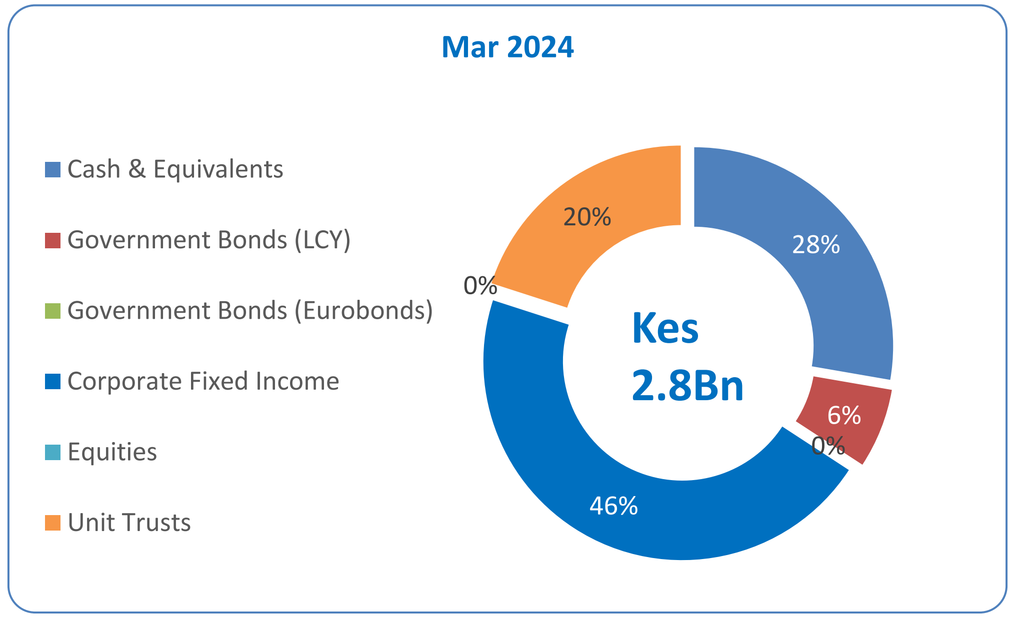
Cash generating assets

MSP Asset Allocation (Kes Mn)

Marketable Securities Portfolio

Carrying Value | Kes 2.8 Billion





- Marketable securities portfolio is held for **liquidity** of the overall investment portfolio. The portfolio has yielded an **average cash return of 15%p.a achieved in FY2024** against our minimum target of 14%p.a.
- The portfolio is largely allocated to diverse **fixed income securities** which provides a regular cash returns for purpose of funding Centum's operating costs, finance costs and distributions to shareholders.
- In the HY2024 we made a strategic capital reallocation by utilizing **Kes 2.8 Billion** from MSP to fund our equity investment in TR Land Co (SEZ) Ltd.
- This was a short-term tactical allocation and Centum expects to redeploy any proceeds from growth portfolio exits or shareholder loan repayments into MSP to enhance the sustainable annuity cash return.
- In the medium term, we expect to enhance Marketable Securities portfolio and **maintain** it in the **range of 10% - 20% of the total portfolio value** in line with our strategic asset allocation objective.

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FINANCIAL REVIEW

Risper Alaro – Group Finance Director

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FINANCIAL REVIEW
Risper Alaro – Group Finance Director

Section 1:
Company Financial Performance.

Company Performance Highlights -

Total Return Statement.

The primary objective of Centum as an investment company is to **grow and preserve shareholder value** as measured by the Net Asset Value (NAV) of the company. The Total Return Statement shows the shareholder value generated in a period.

Centum Total Return Statement	FY2020	FY2021	FY2022	FY2023	FY2024	Total
	Kes Mn	Kes Mn	Kes Mn	Kes Mn	Kes Mn	Kes Mn
Annuity income (dividend and interest earned)	1,212	1,411	1,308	1,331	692	5,954
Realized Gains & other investment income	2,483	106	354	801	460	4,204
Total Income	**3,695**	**1,517**	**1,662**	**2,132**	**1,152**	**10,158**
Operating costs	(895)	(669)	(530)	(512)	(580)	(3,186)
Finance costs	(1,815)	(603)	(540)	(459)	(295)	(3,712)
Operating profit	**985**	**245**	**592**	**1,161**	**278**	**3,261**
Impairment provisions	(3,580)	(1,071)	(531)	(955)	-	(6,137)
Profit/ (loss) before tax	**(2,595)**	**(826)**	**61**	**206**	**278**	**(2,876)**
Tax	(796)	220	(83)	(267)	278	(648)
Profit/ (loss) after tax	**(3,391)**	**(606)**	**(22)**	**(61)**	**556**	**(3,524)**
Other comprehensive income for the year	(971)	(4,212)	(227)	(4,869)	4,948	(5,331)
Total Return	**(4,362)**	**(4,818)**	**(249)**	**(4,930)**	**5,504**	**(8,855)**
Opening Net Asset Value	52,600	47,438	41,821	41,326	35,968	52,600
Closing Net Asset Value	47,438	41,821	41,326	35,968	41,804	41,804
Return on Equity	-8.29%	-10.16%	-0.60%	-11.93%	15.30%	-16.83%
Return on NSE 20 Index	**-31.00%**	**-30.44%**	**0.36%**	**-12.30%**	**-3.32%**	-59.16%
Outperformance	**22.71%**	**20.28%**	**-0.96%**	**0.37%**	**18.62%**	**42.33%**

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Performance Highlights:

- The Company generated **total investment income of Kes 1.15Bn** comprising **Kes 692Mn annuity income** and **Kes 460M realized gains & other income**.
- **Kes 278Mn** operating profit was recorded. **Operating costs** increased by **13%.** A **64%** reduction in **finance costs** was recorded on account of debt reduction in the period.
- **Kes 4.9Bn** value uplift was recorded in the period, driven by improved performance of the portfolio companies including Two Rivers Land Co. SEZ, Centum RE Jafari Credit and Tribus.
- In FY2024, **15.3%** return on shareholder funds was recorded. This was **higher than the NSE 20 index performance by 18.6%.**

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Company Cash Flows

Kes 3.1 Bn cash generated from operations (annuity income and shareholder loan repayments) while **Kes 3.5Bn** was realized from disposal of marketable securities. In FY2024

Highlights:

- The Company generated **Kes 3.1Bn** from operations, comprising recurrent operations and repayment of shareholder loans.
- **Kes 3.5Bn** proceed was realized from disposal of assets.
- The above cash proceeds were applied towards: Reinvestment into the portfolio, Debt and interest payments, Dividend payment and the Share buy back.
- **Post March 2024** year end, we have made a further reallocation of the marketable securities towards further debt repayments of **Kes 1.1Bn** to mitigate the impact of the current high interest rate environment.

Reconciliation of profit/(loss) to cash flows	FY2020	FY2021	FY2022	FY2023	FY2024	Total
	Kes Mn	Kes Mn	Kes Mn	Kes Mn	Kes Mn	Kes Mn
Profit/ (loss) before tax	**(2,595)**	**(826)**	**61**	**206**	**278**	**(2,876)**
Add back/(deduct) Non-cash items & W.C movement:	**2,903**	**1,787**	**628**	**489**	**628**	**6,435**
Proceeds from shareholder loan repayments	-	3,579	426	1,717	2,238	7,960
Net cash from operations	**308**	**4,540**	**1,115**	**2,412**	**3,144**	**11,519**
Proceeds from portfolio disposals (net of tax)	18,775	-	-	830	3,495	23,100
Net free cash flows generated	**19,083**	**4,540**	**1,115**	**3,242**	**6,638**	**34,618**
Use of funds:						
Net cash flows used in investing activities	(4,800)	(2,072)	(303)	(1,099)	(5,758)	(14,032)
Debt and interest payments	(11,817)	(3,729)	(396)	(2,102)	(820)	(18,864)
Dividend payments	(735)	(763)	(257)	(415)	(206)	(2,376)
Share buyback	-	-	-	(37)	(31)	(68)
Total cash utilization	**(17,352)**	**(6,564)**	**(956)**	**(3,653)**	**(6,815)**	**(35,340)**
Net cash flows for the period	**1,731**	**(2,024)**	**159**	**(411)**	**(176)**	**(721)**
Opening cash/(overdraft) balance	**144**	**1,875**	**(149)**	**10**	**(401)**	**144**
Closing cash/(overdraft) balance	**1,875**	**(149)**	**10**	**(401)**	**(576)**	**(576)**
Comprised of:						
Bank Balances	2,912	867	1,020	348	320	
Overdraft utillized	(1,037)	(1,016)	(1,010)	(748)	(896)	
Closing cash/(overdraft) balance	**1,875**	**(149)**	**10**	**(400)**	**(576)**	

Company Statement of Financial Position.

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Kes Mn	Mar 2024	Mar 2023	%∆
Growth portfolio:			
- Investment in Subsidiaries	30,786	21,991	40%
- Debt Investment in Subsidiaries	9,731	8,505	14%
- Unquoted Investments	4,402	4,687	(6%)
- Other assets	331	262	26%
Total growth portfolio	**45,250**	**35,446**	**28%**
Marketable securities portfolio			
- Government securities and corporate bonds	2,513	5,943	(58%)
- Cash and Equivalents	320	348	(8%)
Total marketable securities	**2,832**	**6,292**	**(55%)**
Total Assets	**48,083**	**41,737**	**15%**

Kes Mn	Mar 2024	Mar 2023	%∆
Borrowings	1,951	2,248	(13%)
Other Liabilities	5,090	3,521	45%
Total Liabilities	**7,041**	**5,769**	**22%**
Share Capital	855	886	(3.4%)
Retained Earnings	21,028	20,872	0.7%
Revaluation Reserves	19,159	14,211	34.8%
Shareholder Funds	**41,042**	**35,968**	**14.1%**
Equity and Liabilities	**48,083**	**41,737**	**15.2%**
NAV Per Share (KShs.)	**62.4**	**54.4**	**15%**

- ✓ The increase in investment portfolio reflects the improvement in performance and growth in valuation of the portfolio companies.
- ✓ Reduction in marketable securities reflects the asset reallocation to the growth portfolio as well as liquidation of c. **Kes 0.5Bn** from the portfolio to fund principal debt repayment made during FY2024.
- ✓ Reduction in Borrowings reflect **Kes 0.5Bn** principal repayment, net of increased overdraft utilization in the period.
- ✓ Other liabilities includes **Kes 3.3Bn** deferred tax recognized on the cumulative unrealized capital gains. The deferred tax liability was assessed at 15%, up from the previous 5% rate following the changes in Capital Gains Tax rate during the period.
- ✓ Changes in the share capital are due to the treasury shares acquired under the ongoing share buyback programme.

Debt Review -

Company Debt Analysis.

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Kes 14.2Bn of debt was repaid in the Centum 4.0 period.

	Mar-2019 Kes Mn	Mar-2020 Kes Mn	Mar-2021 Kes Mn	Mar-2022 Kes Mn	Mar-2023 Kes Mn	Mar-2024 Kes Mn
Revolving credit facilities/ Term Loan	16,036	6,448	3,106	3,150	1,500	1,054
Overdraft Facility	108	1,037	1,016	1,010	748	896
Total	**16,144**	**7,485**	**4,122**	**4,160**	**2,248**	**1,951**
Less: Liquid Marketable Securities and cash	(2,105)	(7,804)	(7,075)	(6,318)	(3,686)	(1,737)
Net Debt	**14,039**	**(319)**	**(2,953)**	**(2,158)**	**(1,438)**	**213**
Equity	**52,600**	**47,439**	**41,822**	**41,326**	**35,968**	**41,042**
Net Debt to Equity	26.7%	0.0%	0.0%	0.0%	0.0%	0.5%
Total Debt to Equity	30.7%	15.8%	9.9%	10.1%	6.3%	4.8%

✓A key objective of the Centum 4.0 strategy period was deleveraging of the balance sheet to mitigate financial risk explore.

✓**Kes 14.2Bn** debt repayment was made in the period thereby reducing Total Debt to Equity ratio from 30.7% in March 2019 to 4.8% in March 2024. This ratio has further reduced to 1.3% as at 29th July 2024.

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FINANCIAL REVIEW

Risper Alaro – Group Finance Director

Section 2:

Consolidated Financial Performance.

Consolidated Financial Statements -

Statement of Comprehensive Income.

Kes 2.9Bn consolidated profit before tax driven by improved performance across 4 out of the 6 business segments

Kes Mn	Mar 2024	Mar 2023	%Δ
(Loss) from trading businesses	(706)	(119)	(493%)
Profit from real estate investments	2,513	2,018	25%
Loss from Two Rivers Development group	(965)	(7,090)	86%
(Loss)/Profit from financial services	(500)	334	(250%)
(Loss) from investment operations	(353)	(1,395)	75%
Profit from Two Rivers SEZ	2,920	-	100%
Consolidated Profit/ (Loss) before tax	**2,908**	**(6,251)**	**147%**
Profit/(Loss) after tax	**2,604**	**(7,315)**	**136%**
Other comprehensive income/(loss), net of tax	(62)	(1,762)	96%
Total comprehensive income/(loss) for the ye	**2,542**	**(9,077)**	**128%**
Attribuatble to:			
Owners of the parent	2,807	(4,180)	167%
Non-controlling interests	(204)	(3,135)	94%
Total profit/(loss) after tax	**2,604**	**(7,315)**	**136%**
Earnings Per Share-Basic	**4.27**	**(6.32)**	**168%**

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Performance Highlights:

- Consolidated P&L aggregates the performance of subsidiaries proportion of the performance of associates and joint venture entities within the group.
- **Kes. 2.6 Bn** consolidated profit after tax after tax in FY2024 was attributable to the improved profitability recorded from most of the business segments.
- The performance of Two Rivers reflected the interest costs incurred in the two months of the year prior to sale of assets in May 2023 and foreign exchange losses which accounted for 52% of the finance costs.
- Other comprehensive loss net of tax of **Kes 62Mn** was recorded, an improvement from a loss of **Kes 1.7Bn** in the prior year. This was on account of unrealized currency translation movements in respect to UGX denominated assets.
- **Kes. 2.5Bn** consolidated total comprehensive income recorded in FY2024, a **128% improvement** from a loss of **Kes. 9Bn** in the prior period.

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Consolidated Financial Statements -

Statement of Financial Position.

Highlights:

- Consolidated Statement of Financial position aggregates the assets and liabilities of subsidiary companies, net equity value of associates and the fair value of investments within the group.
- The assets and liabilities indicated above are of businesses in diverse sectors of operations across our various business segments.
- The reduction in consolidated assets and liabilities in FY2024 are on account of the part divesture from Sidian Bank in the period, with retention of 40% stake hence moving from a subsidiary to an associate.

Kes Mn	Mar 2024	Mar 2023	%Δ
Investment portfolio	7,925	7,725	3%
Loans and advances	271	101	169%
Cash and cash equivalents	1,431	543	164%
Assets held for sale	-	42,665	(100%)
Other assets	66,544	61,706	8%
Total Assets	**76,172**	**112,739**	**(32%)**
Borrowings	16,591	19,678	(16%)
Liabilities directly associated with assets classified as held for sale	-	37,314	(100%)
Other liabilities	19,817	18,641	6%
Total Liabilities	**36,407**	**75,633**	**(52%)**
Total Equity	**39,764**	**37,106**	7%
Total Capital and Liabilities	**76,172**	**112,739**	**(32%)**

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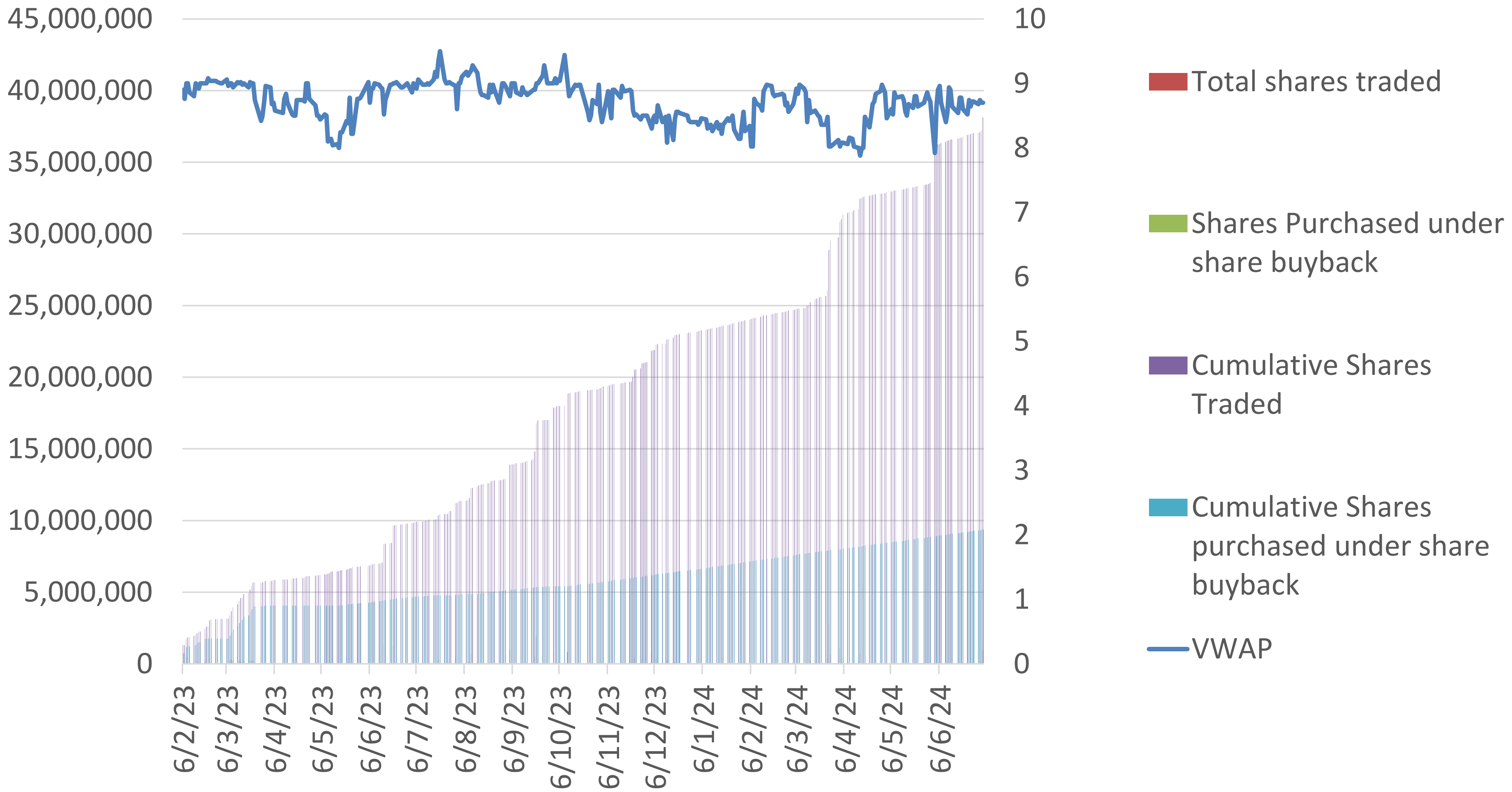
FINANCIAL REVIEW
Risper Alaro – Group Finance Director

Section 3:
Shareholder distributions
- Share buyback update & FY2024 Proposed dividend.

Shareholder distributions -

Share buyback update.

The primary objective of the Share buyback program was to **provide liquidity** to the counter, and this has largely been achieved.



- Centum initiated the share buyback program on the 6th of **Feb 2023** at the offer price of **Kes 9.03.**
- **9.67 Million** shares had been purchased as of 26th July 2024, comprising 24% of the volume traded.

FY2024 Proposed Dividend .

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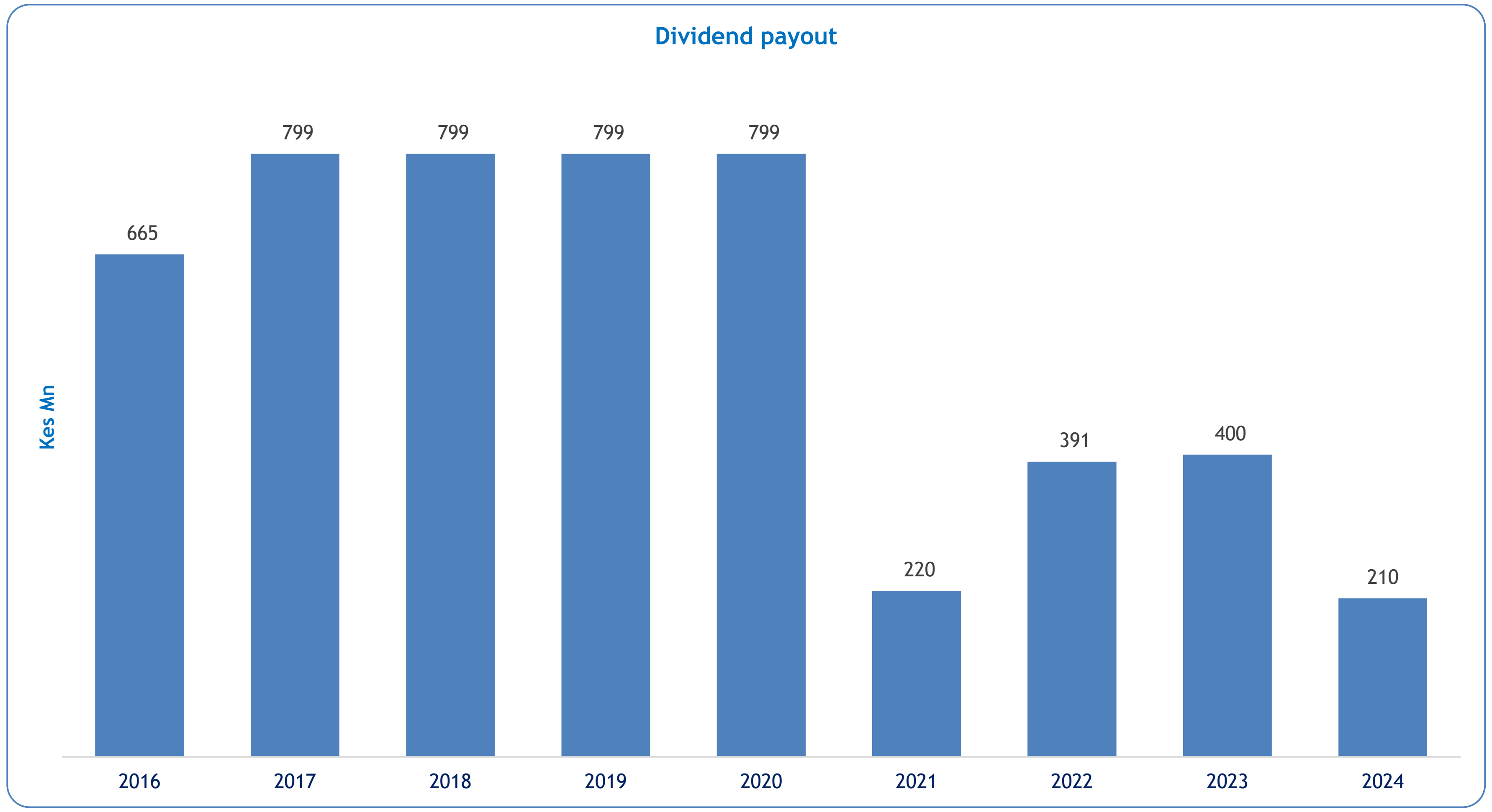
Kes 210Mn proposed dividend payout with respect to the Financial Year ended 31 March 2024



Proposed

- The Board proposes to pay out a dividend of **Kes 0.32** per share, amounting to **Kes 210Mn** with respect to the performance recorded in the year ended 31 March 2024
- This is in line with the Company's dividend policy of paying out **30% of annuity income**.
- The dividend will be paid upon approval by the shareholders at the next Annual General Meeting.

OUTLOOK

Dr. James Mworia – Chief Executive Officer

FY 2025 Key Focus Areas.

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Objectives.	Actions.
Portfolio value optimization	• Implementation of business model transformation initiatives to achieve growth in portfolio value e.g TR Land Co. SEZ, Akiira and other portfolio companies.
Asset reallocation	• Monetization of mature growth portfolio assets to unlock capital for redeployment into marketable securities segment for enhanced annuity income and to achieve the strategic asset allocation objectives
Enhancing Shareholder Returns	• Drive the growth in profitability of underlying portfolio companies through implementation of revenue growth initiatives and enhancement of operating efficiency. • Enhance portfolio cash distributions to Centum to grow the free cash flows available for distribution to shareholders.

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FY2024 Investor Briefing & Results Announcement

Q & A

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Centum Investment Company Plc
8th Floor, South Tower, Two Rivers
PO Box 10518-00100
Nairobi, Kenya

Tel +254 20 316303
Mobile +254 722 205339
Fax +254 20 223223
Email info@centum.co.ke
www.centum.co.ke